

members, drawing attention to family members' accomplishments and life events.

Here are seven more family wealth traps that a matriarch can help the family avoid. . . .

SEVEN COMMON PITFALLS FOR WEALTHY FAMILIES AND HOW TO AVOID THEM

1. *Give advanced notice to heirs about what's headed their way.* This includes financial wealth and other responsibilities. Failure to inform the next generation can devastate young families.

On her 35th birthday, Kristin was contacted by a trustee, asking where she wanted her "trust income" deposited. Unknown to her, her grandfather had put stock in a trust for her when she was born, and income distribution was to start at age 35. When she inquired into the amount of the income, the trustee told her that it was \$500,000 after taxes for that year. She and her husband were comfortable earning \$60k per year. At age 40, she was to receive half of the principle, and to receive the balance at age 45. Three years later, unprepared for this wealth, she and her husband divorced. The money had undermined the relationship. They were unprepared for what had happened to them. The best intentions of the grandfather ultimately proved harmful for the family.

2. *Avoid alienating family members.* All efforts should be made to engage all children in the family affairs. Everyone should have some role that they deem as "important" to the family.

A family member was considered the "loser" of the family. He had no interest in the family business. Everyone made him feel that if "you are not a businessman or president, you are nobody." However, when the planning got to philanthropy, the heir saw possibilities to work in a different environment. He blossomed. His energy and enthusiasm for the family foundation was contagious. He plunged